

Member ID: _____

Time: _____

Rank: _____



FUNDAMENTAL ACCOUNTING (100)

STATE 2022

CONCEPT KNOWLEDGE:

Multiple Choice (30 @ 2 points each) _____ (60 points)

APPLICATION KNOWLEDGE:

Account Identification (15 @ 3 points each) _____ (45 points)

Short Answer (17 @ 3 points each) _____ (51 points)

Job 1 – Financial Analysis (4 points each) _____ (32 points)

Job 2 – Analyzing Merchandising Transactions _____ (45 points)

Job 3 – Depreciation _____ (30 points)

TOTAL POINTS _____ (263 points)

Test Time: 90 minutes

GENERAL GUIDELINES:

Failure to adhere to any of the following rules will result in disqualification:

1. Member must hand in this test booklet and all printouts if any. Failure to do so will result in disqualification.
2. No equipment, supplies, or materials other than those specified for this event are allowed in the testing area. No previous BPA tests and/or sample tests (handwritten, photocopied, or keyed) are allowed in the testing area.
3. Electronic devices will be monitored according to ACT standards.

EXAM GUIDELINES:

You have been hired as a Financial Assistant and will be keeping the accounting records for Digital Solutions, located at 700 Morse Road, Suite 201, Columbus, Ohio 43214. Digital Solutions provides accounting and other financial services for clients. You will complete jobs for Digital Solutions' own accounting records, as well as for clients.

You will have 90 minutes to complete your work. The test is divided into two parts: concept knowledge and application knowledge.

Your name and/or school name should *not* appear on any work you submit for grading. Write your Member ID in the provided space. Staple all pages in order before you turn in your test.

Assumptions to make when taking this assessment:

- Round all calculations to two decimals at the final step.
- Round all percentages to one decimal place.
- Use 360 days for interest calculations.

Multiple Choice Questions

Directions: Identify the letter of the choice that *best* completes the statement or answers the question.

1. What is one difference between accounting for merchandising vs. service businesses?
 - a. The owner's equity accounts have to be different.
 - b. Service businesses don't make profits.
 - c. Accounting for the cost of the merchandise
 - d. Service businesses don't have salary expense.
2. Which of the following statements is true?
 - a. The Income Summary account has a normal debit balance.
 - b. The Income Summary account has a normal credit balance.
 - c. The Income Summary account is an Owner's Equity account.
 - d. The Income Summary account is used throughout the accounting period.
3. Which of the following transactions would affect only the assets of the business?
 - a. Receiving cash on account from a customer
 - b. Purchase of a computer on credit
 - c. Investment of cash by the owner
 - d. Withdrawal of cash by the owner
4. Unearned Revenue will appear on the _____.
 - a. Balance Sheet as a current asset
 - b. Balance Sheet as a current liability.
 - c. Balance Sheet in the owner's equity section.
 - d. Income Statement as revenue.
5. All of the following are permanent accounts *except* _____.
 - a. Retained Earnings
 - b. Income Summary
 - c. Merchandise Inventory
 - d. Accounts Payable
6. The time period used to distinguish current assets from long-term assets is _____.
 - a. one month
 - b. six months
 - c. one year
 - d. two years
7. Declaring a dividend to shareholders would have what effect on the financial statements of the corporation?
 - a. Decrease net income on the Income Statement
 - b. Increase operating expenses on the Income Statement
 - c. Decrease total assets on the Balance Sheet
 - d. Decrease stockholders' equity on the Balance Sheet

8. A sale of merchandise for cash would be recorded in which of the following journals?
 - a. Sales journal
 - b. Purchases journal
 - c. Cash Payments journal
 - d. Cash Receipts journal
9. A sales discount is given to customers _____.
 - a. because the seller does not want to print a new catalog to show new prices
 - b. to encourage prompt payment of invoices
 - c. to encourage customers to pay cash for their purchases
 - d. none of these are correct
10. If a plant asset is not adjusted at year-end, what is the effect on the Income Statement?
 - a. Assets will be understated
 - b. Revenue will be understated
 - c. Expenses will be overstated
 - d. Net Income will be overstated
11. Merchandise is sold on account for \$1,500 in a state that has a 7.25 percent sales tax rate. The entry in the sales journal will include a credit to Sales for _____.
 - a. \$ 108.75
 - b. \$1,391.25
 - c. \$1,500.00
 - d. \$1,608.75
12. Social Security Tax and Medicare Tax are paid by _____.
 - a. only the employee.
 - b. only the employer.
 - c. both the employee and the employer.
 - d. neither the employee or the employer.
13. A purchase of merchandise on account should be recorded in which of the following journals?
 - a. Purchases journal
 - b. Sales journal
 - c. Cash Receipts journal
 - d. Cash Payments journal
14. The Accounts Receivable account in the general ledger is an example of a _____.
 - a. contra account.
 - b. controlling account.
 - c. special account.
 - d. subsidiary account.

15. How do you calculate the book value of a plant asset?
- Original cost – salvage value
 - Original cost – annual depreciation
 - Original cost – current market value
 - Original cost – accumulated depreciation
16. The terms 2/10, n/30 indicate that _____.
- a customer must pay within 10 days to not be assessed a late fee of 2%
 - the total invoice less a 2% discount is due in 30 days
 - if a customer pays within 10 days, they take 2% off of their amount owed
 - the customer will earn a 2% discount if paid within 30 days
17. On March 1, 2022, a firm purchased a one-year insurance policy for \$4,248 and paid the full premium in advance. The insurance expense associated with this policy for 2022 is _____.
- \$354
 - \$3,186
 - \$3,540
 - \$4,248
18. What is the last closing entry for a corporation?
- Transfer net income to Retained Earnings
 - Transfer net income to Income Summary
 - Close Retained Earnings to Dividends
 - Close Dividends to Retained Earnings
19. Which of the following would not be an account for a corporation?
- Drawing
 - Capital Stock – Preferred
 - Dividends
 - Treasury Stock
20. What type of business organization pays Federal Income Tax?
- Corporations
 - Proprietorships
 - Partnerships
 - LLC's
21. Dividends are declared by the _____ of the corporation.
- CEO
 - Board of Directors
 - President
 - Controller

22. Which of the following transactions would not change the amount of Total Assets on the Balance Sheet?
- a. Purchase of office equipment on credit
 - b. Issuance of Common Stock at par value
 - c. Borrowing money against a credit line
 - d. Collection of an accounts receivable
23. Employers are required by law to furnish this form to each employee by January 31st, showing the annual earnings and deductions from the prior year's employment.
- a. W-4
 - b. W-2
 - c. Form 941
 - d. Form 1040
24. Purchases Discounts and Accumulated Depreciation are both _____.
- a. accounts with debit balances
 - b. expense accounts
 - c. asset accounts
 - d. contra accounts
25. Accounts that are increased by credits and decreased by debits are _____.
- a. assets and liabilities
 - b. assets and expenses
 - c. liabilities and stockholders' equity
 - d. liabilities and expenses
26. The financial statement showing financial progress for the fiscal period is the _____.
- a. Balance Sheet
 - b. Statement of Owner's Equity
 - c. Income Statement
 - d. Post-Closing Trial Balance
27. All revenue and contra revenue account ID's will begin with what number?
- a. 1
 - b. 2
 - c. 3
 - d. 4
28. A contra revenue account has what effect on the Income Statement?
- a. Decreases the amount of net revenue
 - b. Increases the cost of merchandise sold
 - c. Increases the net income
 - d. Increase the total expenses for the period

29. Which of the following represents horizontal analysis of an Income Statement?

- Percentage increase in net revenue from 2021 to 2022
- Component percentage of expenses to net sales
- Detailed breakout of cost of merchandise sold
- Calculation of net income before tax as well as after tax

30. What accounting concept is demonstrated by adjusting entries?

- Historical Cost
- Matching Expenses with Revenue
- Business Entity
- Realization of Revenue

Account Identification – 45 points

Directions: For each account name below, indicate its classification, normal balance side, and on which financial statement(s) the account appears. Use the appropriate abbreviations.

Classifications

A = Asset
L = Liability
SE = Stockholders' Equity
R = Revenue
C = Cost of Goods
E = Expenses

Normal Balance

Dr = Debit
Cr = Credit
N = Neither

Financial Statements

BS = Balance Sheet
IS = Income Statement
SOSE = Statement of Stockholders' Equity
N = None

<u>Account Name</u>	<u>Classification</u>	<u>Normal Balance</u>	<u>Financial Statement(s)</u>
Allowance for Doubtful Accts. _____	_____	_____	_____
Rental Revenue _____	_____	_____	_____
Land _____	_____	_____	_____
Uncollectible Accts. Expense _____	_____	_____	_____
Social Security Tax Payable _____	_____	_____	_____
Dividends _____	_____	_____	_____
Income Summary _____	_____	_____	_____
Insurance Expense _____	_____	_____	_____
Retained Earnings _____	_____	_____	_____
Sales Discount _____	_____	_____	_____
Purchases _____	_____	_____	_____
Merchandise Inventory _____	_____	_____	_____
Unearned Rent _____	_____	_____	_____
Prepaid Rent _____	_____	_____	_____
Salary Expense _____	_____	_____	_____

Short Answer Problems – 3 points each answer

1. On March 3rd, Simpson Sporting Goods purchases merchandise on account with a list price of \$67,350, and is given a trade discount of 60%. Terms of the sale are 2/10, n/30. How much would Simpson pay if the invoice is paid on the following dates:
 - a. March 12th _____
 - b. March 25th _____
2. Total payroll for Ace Electronics for the period ending March 12th, 2022 is \$11,760. Total federal income tax withheld is \$1,890. Appropriate percentages for payroll include: Social Security Tax – 6.2%; Medicare Tax – 1.45%. No employee has reached the tax base. Answer the following questions for Ace regarding their payroll journal entry.
 - a. Debit to Salary Expense _____
 - b. Credit to Federal Income Tax Payable _____
 - c. Credit to Social Security Tax Payable _____
 - d. Credit to Medicare Tax Payable _____
 - e. Credit to Cash _____
3. Digital Solutions showed the following financial data for the year 2021.
 - Net Sales \$114,250
 - Beginning Merchandise Inventory \$41,600
 - Net Purchases \$68,900
 - Ending Merchandise Inventory \$48,730
 - Operating Expenses \$31,460

Find the following for Digital Solutions for the year ended December 31, 2021.

- a. Cost of Merchandise Sold _____
- b. Gross Profit _____
- c. Gross Profit Margin Percentage _____
- d. Net Income _____

4. Fleetwood Inc. had a 2021 beginning Capital Stock balance of 25,000 shares @ \$10 par value, and a beginning Retained Earnings balance of \$132,500. During 2021, Fleetwood's Board of Directors declared \$2 per share worth of dividends. Fleetwood showed net income during 2021 of \$91,700. Answer the following questions regarding the Statement of Stockholders' Equity for 2021.
- a. Capital Stock balance _____
 - b. Dividends declared during 2021 _____
 - c. Ending Retained Earnings balance _____
 - d. Total Stockholders' Equity _____
5. Sanchez Supplies signs a promissory note with 1st National Bank on April 17th. The note is a 90-day, 5.25% note for \$5,750
- a. Maturity Value _____
 - b. What is the Maturity Date of the note? _____

Job 1 – Financial Ratio Analysis - 32 points

Selected financial information for Johnson Pet Supplies is shown below. All balances are after adjusting entries have been posted. Use the information to find the given balances or ratios.

Total Current Assets - \$143,440
Total Assets - \$358,610
Total Current Liabilities - \$80,030
Total Liabilities - \$115,630
Capital Stock - \$125,000 (25,000 shares outstanding)
Beginning Retained Earnings - \$101,140
Dividends - \$20,000
Net Sales - \$418,630
Net Purchases - \$246,980
Cost of Goods Sold – \$193,150
Operating Expenses - \$188,640

- a. Ending Retained Earnings _____
- b. Return on Assets _____
- c. Return on Sales _____
- d. Working Capital _____
- e. Current Ratio _____
- f. Debt Ratio _____
- g. Debt to Equity Ratio _____
- h. EPS _____

Job 2 – Analyzing Merchandising Transactions Using Special Journals – 45 points

Analyze the transactions on the following page for Huffy Shoes into their debit and credit parts using the account numbers below. Some transactions might have multiple debits and credits. All must be shown to be correct. Identify which special journal the transaction would be recorded in using the codes provided.

Special Journals

P	-	Purchases Journal
S	-	Sales Journal
CP	-	Cash Payments
CR	-	Cash Receipts
G	-	General Journal

Chart of Accounts

110	Cash
120	Accounts Receivable
130	Notes Receivable
140	Merchandise Inventory
150	Supplies
160	Prepaid Rent
210	Accounts Payable
220	Notes Payable
230	Sales Tax Payable
310	Roberto Villega, Capital
320	Roberto Villega, Drawing
330	Income Summary
410	Sales
420	Sales Discounts
430	Sales Returns and Allowances
440	Interest Income
510	Purchases
520	Purchases Discounts
530	Purchases Returns and Allowances
610	Advertising Expense
620	Interest Expense
630	Miscellaneous Expense
640	Rent Expense
650	Supplies Expense

	<u>Journal</u>	<u>Debit</u>	<u>Credit</u>
1. Paid Storage Unit Inc in advance for three months of rent for storage space.	_____	_____	_____
2. Sent a check to newspaper for advertising	_____	_____	_____
3. Ordered merchandise over the phone from K&W Shoes; Terms of sale are 2/10, n/30	_____	_____	_____
4. Sold merchandise to Deandre Skelly, plus sales tax. Deandre wrote you a check in full	_____	_____	_____
5. Sold merchandise online to ABC Charities. ABC is tax exempt. Shipment will be sent today with terms of sale of 2/10, n/30	_____	_____	_____
6. Merchandise from transaction #5 was received. Some shoes were incorrect color; granted customer an allowance of 25% off invoice.	_____	_____	_____
7. Received payment from ABC Charities, reflecting original invoice minus allowance from prior transaction. Payment received within the discount period	_____	_____	_____
8. Paid invoice from K&W Shoes, received 2% discount for prompt payment	_____	_____	_____
9. Received promissory note from customer for outstanding accounts receivable	_____	_____	_____
10. Paid cash for Supplies	_____	_____	_____
11. Sold merchandise to Trey James, plus sales tax. Trey paid half now with the remainder on account.	_____	_____	_____
12. Paid sales tax liability to city government	_____	_____	_____
13. Received payment in full from promissory note from customer, plus interest.	_____	_____	_____
14. Roberto Villega took shoes for personal use	_____	_____	_____
15. Recorded adjusting entry for Merchandise; Amount on hand greater than account balance	_____	_____	_____

Job 3 – Depreciation – 1 point each, 30 points total

Use the following information to complete a depreciation table for two assets purchased this year. Use straight-line depreciation for both assets.

Asset 1 – Bought January 3rd, 2022; Cost \$22,000, Salvage Value \$4,000; Useful Life – 5 years

Asset 2 – Bought March 28th, 2022; Cost \$18,000, Salvage Value \$2,000; Useful Life – 4 years

	Asset 1			Asset 2		
	Annual Depreciation	Accumulated Depreciation	Ending Book Value	Annual Depreciation	Accumulated Depreciation	Ending Book Value
2022						
2023						
2024						
2025						
2026						